

Merchant Onboarding Standard Operating Procedures

Operational SOPs for each step of the merchant onboarding process at NorthPay — a UK B2B payments company. Companion to the Process Map pack.

SAMPLE DELIVERABLE

Purpose & how to read the SOPs

The operating detail behind the process map — written so a competent new joiner could execute each step unaided.

This pack is the working companion to the Process Map pack: the map shows what happens and who owns it; these SOPs record how each step is actually performed. They serve two audiences — the teams operating the process day to day, and new joiners using them as structured orientation and refresher material.

Each full SOP follows the same structure: a metadata block (owner, systems, inputs, outputs, SLA), numbered operating steps, exception handling, and the controls embedded in the step. SOPs are numbered after the Level 1 process steps they document (SOP-03 documents step 3, and so on). Full SOPs are provided for the three most operationally complex steps; the remaining steps are summarised at the end. Where a step has Level 2 drill-downs in the map pack, the SOP steps mirror the L2 numbering.

Every SOP carries a version and links to the policies listed in the map pack's traceability matrix — a policy change triggers a review of the linked SOPs, and an SOP change triggers a check of the linked policies.

A note on scope. This documentation describes and maps operational process. It is not legal or regulatory advice, and it does not constitute an opinion on compliance with any regulatory regime. NorthPay is a fictional company; this pack is a worked sample showing the standard of documentation DL Consulting delivers.

Full standard operating procedures

Steps 3, 5 and 7 — the three most operationally complex steps in the process.

SOP-03 · KYB — Company verification & UBO identification

Process owner	Head of Compliance	Systems	KYC vendor platform · Companies House API · case manager
Inputs	Completed application; triage pass from Sales Ops	Outputs	Verified entity profile; UBO register entry; case file
Target SLA	2 working days from triage pass	Version	v1.0 · Sample

- 1. Retrieve registry data.** Pull the company record from Companies House (or the equivalent home registry for non-UK entities) via the KYC platform. Confirm legal name, company number, registered address, status (active), and incorporation date match the application. Any mismatch is queried with the merchant before proceeding.
- 2. Map the ownership structure.** Build the ownership tree to identify all natural persons holding, directly or indirectly, 25% or more of shares or voting rights, and any person exercising control by other means. For layered structures, document each intermediate entity with its jurisdiction and ownership percentage.
- 3. Resolve gaps against source documents.** Where the registry is insufficient (nominee arrangements, overseas parents, trusts), request supporting documents — shareholder register, trust deed, or structure chart certified by the company — and record what was relied upon.
- 4. Record UBOs.** Enter each identified UBO into the case file with full name, date of birth, nationality, residential country and basis of beneficial ownership. If no individual meets the 25% threshold, record the senior managing official as the responsible person and note the rationale.
- 5. Quality check and hand off.** A second pair of eyes within Compliance reviews the ownership tree for structures above two layers or involving non-UK entities. On pass, the case moves automatically to SOP-04 (KYC).

Exceptions. Dissolved or dormant registry status → automatic stop and merchant query. Ownership unresolvable after two document requests → escalate to Head of Compliance for a proceed / decline decision, recorded in the case file.

Embedded controls. Registry data pulled system-to-system (no manual re-keying of company numbers); two-layer-plus structures require secondary review; every reliance decision (which document, which source) is logged in the case file.

SOP-05 · Sanctions, PEP & adverse-media screening

Process owner	Head of Compliance (MLRO for escalations)	Systems	Screening tool · case manager
Inputs	Verified entity + KYC-passed individuals from SOP-03/04	Outputs	Screening disposition per subject; EDD file where triggered
Target SLA	Same day (automated); +2 working days where EDD is triggered	Version	v1.0 · Sample

Step numbering below mirrors the Level 2 drill-down of Step 5 in the Process Map pack.

- (5.1) Automated screening.** The screening tool checks the entity, all directors and all UBOs against sanctions lists (UK, UN, EU, OFAC), PEP databases and adverse-media sources. Screening runs automatically on hand-off from SOP-04; no case proceeds to risk scoring without a completed screen. No hits → disposition logged automatically and the case proceeds.
- (5.2) Analyst triage.** Hits are queued and prioritised by list type: sanctions first, then PEP, then adverse media.
- (5.3) Adjudicate potential matches.** An analyst reviews each hit and disposes it as false positive (identifiers do not match — record which discriminators were used: DOB, nationality, address) or potential true match. Disposition and rationale are recorded against the hit in the case manager at the point of decision.
- (5.4) Enhanced due diligence.** For potential true matches and confirmed PEPs: gather source-of-funds / source-of-wealth information proportionate to the risk, document the nature of the media allegation or PEP position, and prepare a short EDD summary with a recommendation.
- (5.5) MLRO decision.** Confirmed sanctions matches → immediate stop, no onboarding, and consideration of reporting obligations. PEPs and material adverse media → MLRO (or deputy) approves or declines the relationship in writing; approval requires documented rationale and any conditions (e.g. enhanced ongoing monitoring, time-bound to periodic review). Cleared cases pass automatically to SOP-06 with the disposition attached to the merchant record.

Exceptions. Screening-tool outage → cases queue; manual list checks are permitted only for urgent cases with MLRO sign-off, and are re-run through the tool on restoration.

Embedded controls. Screening is a hard gate enforced by workflow, not convention; every disposition carries a recorded rationale; PEP approvals are time-bound and re-confirmed at periodic review.

SOP-07 · Risk assessment & underwriting decision

Process owner	Head of Risk	Systems	Risk engine · CRM · case manager
Inputs	Screened case file from SOP-05; projected volumes from application	Outputs	Risk tier; underwriting decision with rationale; pricing inputs
Target SLA	2 working days combined (assessment + decision)	Version	v1.0 · Sample

- 1. Compile the risk inputs.** The risk engine assembles: merchant sector (MCC) and its chargeback profile; projected monthly volume and average transaction value; delivery timeframes (card-not-present exposure); geographic footprint of customers; time in business and financials where provided.
- 2. Generate the composite score.** The engine produces a risk tier — Low / Standard / Elevated / High — from weighted inputs. Analysts may not override the tier itself; concerns are handled through the decision authority in step 4.
- 3. Prepare the underwriting summary.** The analyst writes a short structured summary: business model in one paragraph, key exposures, screening outcome, proposed settlement terms and any recommended conditions (rolling reserve, settlement delay, volume caps).
- 4. Decision by tiered authority.** Low and Standard tier → single underwriter approval. Elevated tier → senior underwriter. High tier → Head of Risk. Decisions are Approve, Approve with conditions, Refer (more information; case pauses with a 10-day expiry) or Decline. Rationale is mandatory for every outcome and recorded in the case manager.
- 5. Communicate and hand off.** Approvals pass to Sales Ops for contracting with conditions attached as structured fields (not free text). Declines are notified to the merchant with a templated, non-disclosive message; financial-crime-related declines are not appealable and the internal reason is restricted to Compliance.

Exceptions. Merchant materially changes projected volumes or business model after decision → case returns to step 1; the prior decision is void.

Embedded controls. Score overrides prohibited at analyst level; approval authority scales with risk tier; decline reasons involving financial crime are access-restricted; conditions travel with the merchant record into monitoring.

Remaining steps — operating summaries

Steps that are procedurally simple receive a summary rather than a full SOP; in a live engagement, any of these can be expanded on request.

Step	Operating summary
1 · Application submitted	Merchant completes the online form and uploads incorporation and bank documents. A CRM record is created automatically; nothing is re-keyed.
2 · Screening & triage	Sales Ops confirms completeness, checks the prohibited-industry list and confirms commercial appetite. Incomplete applications return to the merchant with a 5-working-day window before auto-closure.
4 · KYC verification	Directors and UBOs complete electronic identity verification (document + biometric). Two failed attempts route to manual review; manual passes require a recorded rationale.
8 · Contract & provisioning	Fee schedule generated from the approved pricing inputs; e-signature; scheme registration; credentials issued and integration verified with test transactions before activation.
9 · Go-live & early monitoring	New merchants run on tightened transaction-monitoring thresholds for 30 days; a day-30 review confirms activity matches the underwritten profile before thresholds normalise.

About DL Consulting

DL Consulting documents critical processes for fintech and payments companies: end-to-end process maps with drill-downs, operational SOPs, and policy-to-process traceability — so leadership can see how the business actually runs, new joiners ramp faster, and a change to any policy or process is never a surprise to the other. The standard engagement — the **Process Sprint** — covers three critical processes in two weeks, built from short structured interviews with your team and delivered in your tools (Notion, Confluence or PDF).

Contact: dany@dl-consulting.services · dl-consulting.services